

this transaction. Investing in debt isn't bad.

Bonds have been especially attractive in the last twenty years. Not in the fifty years before that, but definitely in the last twenty. Historically, interest rates never strayed far from 4 percent, but in the last decade we've seen long-term rates rise to 16 percent then fall to 8 percent, creating remarkable opportunities. People who bought U.S. Treasury bonds with 20-year maturities in 1980 have seen the face value of their bonds nearly double, and meanwhile they've still been collecting the 16 percent interest on their original investment. If you were smart enough to have bought 20-year T-bonds then, you've beaten the stock market by a sizable margin, even in this latest bull phase. Moreover, you've done it without having to read a single research report or having to pay a single tribute to a stockbroker.

(Long-term T-bonds are the best way to play interest rates because they aren't "callable"—or at least not until five years prior to maturity. As many disgruntled bond investors have discovered, many corporate and municipal bonds are callable much sooner, which means the debtors buy them back the minute it's advantageous to do so. Bondholders have no more choice in the matter than property owners who face a condemnation. As soon as interest rates begin to fall, causing bond investors to realize they've struck a shrewd bargain, the deal is canceled and they get their money back in the mail. On the other hand, if interest rates go in a direction that works against the bondholders, the bondholders are stuck with the bonds.

Since there's very little in the corporate bond business that isn't callable, you're advised to buy Treasuries if you hope to profit from a fall in interest rates.)

LIBERATING THE PASSBOOKS

Traditionally bonds were sold in large denominations—too large for the small investor, who could only invest in debt via the savings account, or the boring U.S. savings bonds. Then the bond funds were invented, and regular people could invest in debt right along with tycoons. After that, the money-market fund liberated millions of former passbook savers from the captivity of banks, once and for all. There ought to be a monument to Bruce Bent and Harry Browne, who dreamed up the money-market account and dared to lead the great exodus out of the Scroogian thrifts. They started it with the Reserve Fund in 1971.

My own boss, Ned Johnson, took the idea a thought further and added the check-writing feature. Prior to that, the money-market was most useful as a place where small corporations could park their weekly payroll funds. The check-writing feature gave the money-market fund universal appeal as a savings account